

What Retiring Abroad Does to Your Income

The same retirement, modeled in the United States, the United Kingdom, Canada and Australia — and what actually changes.

Why this guide exists

“Best places to retire” lists rank countries on cost of living and sunshine. Almost none of them run the same retirement through each country’s tax and healthcare rules to see what is actually left to spend. This guide does exactly that, and publishes the method so you can check it.

Three findings that surprised us

1. The ranking reorders as you age

The country that leaves you best off at 62 is not the one that leaves you best off at 70. Claiming ages, healthcare eligibility and pension start dates all land at different times, so any single-age comparison is a snapshot of one moment, not a verdict.

2. At 67, where Social Security is taxed decides it

Under the US–UK treaty, US Social Security is taxed only in the country you live in. For a UK resident the whole benefit enters the UK tax base at 67, and in our base case the UK tax bill rises to more than twice the American’s. Free UK healthcare covers the gap before 67 but not after it, so the United States leads from 65 on. Check the treaty for your own destination before assuming your benefit is taxed the way it is at home.

3. Portfolio size changes the answer

The best country at \$600,000 is not the best country at \$2.5 million. Progressive tax bands and means-tested healthcare interact differently at different levels, so a recommendation that ignores your balance is guessing.

How to use this

Treat country choice as one variable in a plan, not a decision made in isolation. Model your own numbers at several ages, then check which finding above actually applies to you — the free comparison tool below runs the same engine used here.

Free tool: <https://airetirementincomeplanner.com/retire-abroad.html>

Full method: <https://airetirementincomeplanner.com/cross-border-methodology.html>

Raw data (CC BY 4.0): <https://airetirementincomeplanner.com/cross-border-retirement-data-study.html>

What the model does and does not include

Every comparison rests on assumptions, so we name them. The methodology page lists them in full, including two limits: the Canadian and Australian figures apply local tax without a US layer, and the published figures convert the UK, Canadian and Australian tax thresholds at fixed exchange rates.

Where to go next

Put these numbers to work in the AI Retirement Income Planner — it models income, taxes, Social Security, healthcare and withdrawals month by month, privately in your browser. Try the free demo at <https://airetirementincomeplanner.com/demo.html>.

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